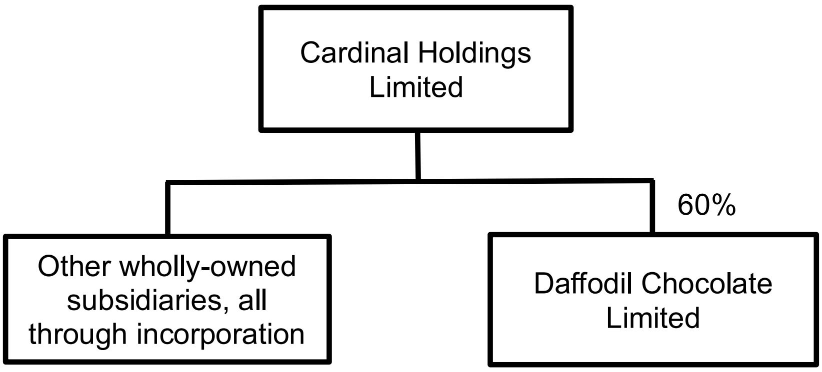
SECTION A – CASE QUESTIONS **(TOTAL: 50 marks)**

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

CASE

Cardinal Holdings Limited ("Cardinal") is incorporated in Hong Kong. Cardinal and its subsidiaries ("Cardinal Group") have a financial year end date of 31 December and apply Hong Kong Financial Reporting Standards in the preparation of financial statements. Over the past 20 years, Cardinal relied on organic growth; however, starting from late 2019, Cardinal has been actively seeking investment opportunities. On 1 January 2020, Cardinal acquired a 60% shareholding in Daffodil Chocolate Limited ("Daffodil") and has obtained control over Daffodil since then (the "Acquisition"). The group structure as at 31 December 2020 was as follows:



Background of Daffodil

Daffodil is a leading premium chocolatier engaged in the sugar and confectionary manufacturing industry. Daffodil was founded in the 2000's by the Evans family and has rapidly gained a positive reputation in the market due to its high-quality products. The Evans family has held 100% shareholding in Daffodil since incorporation until the transfer of control to Cardinal in early 2020. The Evans family holds the remaining 40% of the shares of Daffodil after the Acquisition.

Daffodil is based in Cloverland and C$ is the currency used in Cloverland. Over the past 20 years, Daffodil has established a number of retail stores in Cloverland, Hong Kong and throughout Europe. The selling prices of the products in Cloverland, Hong Kong and Europe, which are influenced by local demand, are denominated in C$, Hong Kong Dollars and Euros respectively. Based on its management reports of the past few years, Daffodil has consistently generated an even amount of revenue from Cloverland, Hong Kong and Europe.

Cocoa plantation in Cloverland

Daffodil has developed itself as a vertically-integrated company and owns its cocoa plantation in Cloverland. The cocoa plantation is managed locally by a team (the "Team") overseeing activities such as growing, harvesting, and drying.

A cocoa tree can produce twice a year for approximately 30 years. The Team harvests the cocoa pods at regular intervals. After removing the pods from the cocoa trees, the pods are transported to the pod-breaking site in another area of the plantation. The Team opens the pods to extract the cocoa beans. The cocoa beans are then left to ferment for around a week. Well-fermented beans release the chocolate aroma and are dried naturally for a week. The dried cocoa beans are placed in the storage area in the plantation.

The Team arranges transportation of the dried cocoa beans to the manufacturing facility in Cloverland (which is Daffodil's only manufacturing plant) where the beans will be processed into a thick paste rich in cocoa butter. The cocoa paste will be mixed with sugar to manufacture the chocolate products. Daffodil pays the Team and its employees in the manufacturing plant in C$.

Forward contract

One of the key ingredients in chocolate production is sugar. On 1 November 2020, Daffodil had a highly probable forecast purchase of 100 tons of sugar expected to occur on 31 January 2021 which was for the production of its new products to be introduced in March 2021. Daffodil identified a sugar supplier but had not entered into a purchase contract yet. In order to hedge against the fluctuation in the sugar price, Daffodil entered into a forward contract on 1 November 2020 with an unrelated party to buy 100 tons of sugar locked at C$430 per ton (the "Contract"). The Contract would be settled in cash on 31 January 2021. No money was exchanged between Daffodil and the unrelated party upon signing of the Contract.

During the life of the Contract, the fair value of the Contract was determined by comparing the forward price (i.e. C$430 per ton) and the market price of sugar with time value of money ignored. The fair value of the Contract was measured at C$860 as at 31 December 2020 and C$700 as at 31 January 2021 immediately before the expiry of the Contract. Daffodil settled the Contract as at 31 January 2021.

Daffodil purchased the sugar, from the market, at C$437 per ton on 31 January 2021. It is the practice of Daffodil to source its sugar in Cloverland and pay in C$.

Acquisition of Daffodil

On 1 January 2020, Cardinal paid C$30,050,000 for the Acquisition. Cardinal presents its investment in subsidiaries at cost in its separate financial statements. At the date of acquisition, Daffodil had retained earnings of C$39,000,000 with no other reserve. The purchase price allocation exercise concluded that, on 1 January 2020, the fair value of Daffodil's net assets was equal to their carrying amounts with an exception of some machinery items. These machinery items had a fair value greater than the carrying amount by a sum of C$1,000,000. It was also assessed that these machinery items would have a remaining useful life of five years since 1 January 2020 with no residual value. Cardinal chose to measure the non-controlling interest in Daffodil at their proportionate share of the fair value of Daffodil's net identifiable assets at the acquisition date. Daffodil has not issued any share since the Acquisition. On 1 October 2020, Daffodil declared and paid dividends with an amount of C$1,000,000. It was also assessed that the goodwill arising from the Acquisition has not been impaired since the acquisition date. The following exchange rates are relevant to the preparation of the consolidated financial statements of the Cardinal Group:

Date	C$1 to HK$
1 January 2020	6.50
1 October 2020	6.75
31 December 2020	7.00
Average rate for the 12 months ended 31 December 2020	6.80

The profits tax rate in Hong Kong is 16.5% while the profits tax rate in Cloverland is 25%. Companies in the Cardinal Group measure its property, plant and equipment using the cost model in accordance with HKAS 16 *Property, Plant and Equipment*. The statements of financial position of Daffodil and the Cardinal Group excluding Daffodil as at 31 December 2020 are shown below:

Statements of financial position as at 31 December 2020

	Cardinal Group excluding Daffodil HK$'000	Daffodil C$'000
ASSETS		
Property, plant and equipment and other non-current assets	995,000	50,000
Investments	250,000	-
Current assets	50,400	5,840
Total assets	1,295,400	55,840
EQUITY AND LIABILITIES		
Share capital	200,000	10,000
Retained earnings, 1 January 2020	900,000	39,000
Add: Profit for the year	41,500	2,600
Less: Dividends declared and paid	-	(1,000)
Retained earnings, 31 December 2020	941,500	40,600
Total liabilities	153,900	5,240
Total equity and liabilities	1,295,400	55,840

<u>Question 1</u> (33 marks – approximately 59 minutes)

(a) Analyse Daffodil's functional currency. If additional information is required in such analysis, state what information is needed.

(8 marks)

(b) (i) Assuming C$ is the functional currency of Daffodil, prepare the statement of financial position of Daffodil as at 31 December 2020, translating from C$ to Hong Kong dollars as the presentation currency and including any translation reserve arising from this translation.

(ii) Prepare the consolidated statement of financial position for the Cardinal Group with the inclusion of Daffodil as at 31 December 2020.

Note: You may wish to use the templates printed on the green paper provided to prepare your answers or continue your answers in the script booklet for Case Questions. You have to show the supporting calculations for each figure.

(25 marks)

<u>Question 2</u> (6 marks – approximately 11 minutes)

Although the Cardinal Group has other companies engaged in the sugar and confectionary industry, this is the first time that the Cardinal Group has owned a cocoa plantation. The board of directors would like to know the measurement principles of various assets in the cocoa plantation in Cloverland so as to evaluate the financial impacts in the Cardinal Group's financial statements.

<u>Required:</u>

Classify the following assets in the cocoa plantation into different categories and outline their general measurement principles with reference to applicable accounting standard(s):

- **Cocoa trees in the cocoa plantation;**
- **Pods growing on the cocoa trees; and**
- **Harvested pods and cocoa beans.**

You may present your answers in a tabular format.

(6 marks)

Question 3 **(11 marks – approximately 20 minutes)**

You are Gordan Pang, the Accounting Manager of Cardinal. On 2 April 2021, you received an email from Florence Cheng, the Senior Accounting Manager of Cardinal:

> Gordan,
>
> The board of directors noticed that Daffodil entered into a forward contract to buy 100 tons of sugar. The board confirmed that Daffodil did not adopt hedge accounting for this transaction, however, the board would like to know the accounting impacts of this forward contract if Daffodil had adopted hedge accounting assuming that the hedge is considered an effective hedge.
>
> Our team is expected to explain:
>
> - why the forward contract qualifies as a derivative instrument; and
>
> - with the application of hedge accounting, the accounting impacts relating to the forward contract and the purchase of sugar in the financial statements of Daffodil for the three months ended 31 December 2020 and for the three months ended 31 March 2021.
>
> Our team is also expected to illustrate the accounting impacts with journal entries.
>
> Please prepare a report so that I can forward it to the board of directors for further discussion.
>
> Thank you.
>
> Florence

Required:

Prepare a report for the board of directors.

(11 marks)

Note: A maximum of 2 marks for communication skill and 2 marks for analytical skill will be awarded.

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS **(TOTAL: 50 marks)**

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

Question 4 **(18 marks – approximately 32 minutes)**

Hip Hurray Limited ("HHH") holds a number of properties in Hong Kong. Revenue is earned through owning, managing and operating businesses through these investments. HHH applies fair value model to its investment properties and cost model to properties that are owner-occupied.

Property A **(9 marks)**

HHH owns Property A, a complex that is operated as a hotel with HHH's own staff. Full cleaning services are provided and tenants have full access to the hotel's facilities, e.g., swimming pool, gymnasium etc.

In addition, HHH has designated two floors in the building to be run as serviced apartments. While the price is lower, there is a minimum term of three months for those units. HHH provides conventional security and maintenance services, plus daily cleaning services. Tenants are also entitled to utilise the hotel's facilities just like the other hotel guests.

Property B **(9 marks)**

Property B is also operated as a hotel providing services similar to those of Property A. In order to streamline some of its daily operations HHH entered into a one-year renewable agreement with Optel Limited ("OL"). OL is an independent third party that specialises in running hotel operations. Under the agreement, OL is required to run the day-to-day operations of the hotel in Property B under HHH's brand and protocols. Employees of the hotel are to be hired by OL but subject to HHH's approval. OL's services and pricing level must comply with the benchmark as set by HHH; failure to do so would result in early termination of the contract. All income and expenses from the hotel operations are to be borne by OL, with HHH sharing 95% of the net operating profits in return for OL using the property to run the hotel operations.

Sean Lau is a new director to the Board of HHH. Sean has questions about the classification of the properties. He said, "we are merely collecting rents from the customers for property A so it would be reasonable to classify it as an investment property. As for property B, what do you mean by outsourcing arrangement? It is an operation run by OL bearing all income and expenses. So we are just leasing out the property to collect rental income and this time from OL instead of the ultimate hotel customers so it should be classified as an investment property too."

Required:

Evaluate Sean's comments and advise your views. In particular, explain the classification and resulting accounting treatments applicable to each of the properties.

(You are NOT required to discuss the accounting treatments of the income arising from each of the properties.)

(18 marks)

Question 5 **(18 marks – approximately 32 minutes)**

Health & Wealth Limited ("HWL") has a financial year end date of 31 December. It operates in the wellbeing sector under a number of brands offering different kinds of services, one of which is Fit24. Fit24 operates gymnasiums in major cities in the Asia Pacific region. The rest of the group focuses on apparel plus food and beverage lines of business. Fit24 is held under Fit24 Company Limited ("FCL") which was purchased by HWL back in 2015. Over the years FCL has grown to contribute a significant portion of HWL's business. Other than FCL, no other subsidiaries in the group operate in the same fitness-related business.

In 2020, management of HWL was looking into the sale of 90% of the shares in FCL (the "Proposed Sale"). The board's approval for the Proposed Sale was obtained in February 2020. The Proposed Sale would have required shareholders' approval and management considered that the resolution was likely to be passed, although some debates would have been needed given the size of its business.

The shareholders' approval was eventually obtained in July 2020 and the transaction was expected to be completed within the year.

In August 2020, HWL engaged an agent to look for a buyer for the Proposed Sale at the then fair value of HK$60 million.

The market then deteriorated during the last quarter of 2020 and on 1 November 2020 management decided to drop the offer price to HK$50 million based on fair value at that time as determined by their valuers. The management hoped to get the business sold as soon as possible.

On 1 April 2021, HWL managed to sign a deal with EasyLife Inc, an independent third party, to sell 90% of the shares in FCL at HK$40 million, retaining 10% in FCL as a strategic investment upon completion of the transaction on 30 May 2021 (the "Actual Disposal").

Required:

(a) **Analyse the impact of the Proposed Sale on the presentation of FCL's assets/ liabilities and profit or loss in HWL's consolidated financial statements as of and for each of the following period ends independently:**

(i) **30 June 2020**
(ii) **31 December 2020**

(15 marks)

(b) **Explain the accounting treatment of the 10% investment in FCL retained by HWL subsequent to the Actual Disposal.**

(3 marks)

Question 6 **(14 marks – approximately 26 minutes)**

Foodamin Limited ("FL") is a worldwide retail chain that sells organic food and natural supplements. Its products are sold via supermarkets as well as its own branded stores which operate in leased units in shopping malls. FL is listed on the Hong Kong Stock Exchange Limited (the "HKEx") and has a financial year end date of 31 March.

As a result of economic downturn, the income of FL had declined to such an extent that the revenue from its flagship store in Hong Kong is not able to cover its corresponding rental expenses. The flagship store is under a lease of five years. The lease is not cancellable. Fred Lo, Finance Director of FL, is considering to recognise provision for onerous contracts in respect of the lease as a result.

Two days before FL announced its results for the year ended 31 March 2021, Alissa Chew (an Accounting Officer) noticed that FL had breached a loan covenant as of 31 March 2021, causing one of the material long-term loans to become repayable on demand. She brought the matter up to Fred. His reply was, "The breach was already rectified on 15 April 2021 by signing another contract with the bank - we can leave it. We better mind our own business rather than try to be 'heroes' – it would not do good to our job security here as our bosses do not like last minute surprises."

Both Alissa and Fred are members of the Hong Kong Institute of Certified Public Accountants ("HKICPA").

Required:

(a) **Explain whether you agree with Fred's view of recognising provision for onerous contracts in respect of the lease.**

(4 marks)

(b) **State the possible impact on FL's statement of financial position as a result of the economic downturn.**

(5 marks)

(c) **Advise as to the ethical issues involved in this case in the context of the Code of Ethics for Professional Accountants issued by the HKICPA.**

(5 marks)

* * * END OF EXAMINATION PAPER * * *